



Chapter 12

Serving Your Customers: Customer Accounts

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» Seeing when you can call a potential customer

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If you're going to have a successful business, you have to be able to open accounts. Beyond "smiling and dialing," you need to know what to do once you hook your first big one. Next, you need to get the account form filled out. The account form and conversations with your customers and potential customers help you make appropriate recommendations. Hopefully, the securities you recommend will do well, and your customer will rent a van with a huge speaker on top so he can drive through town telling everyone how great you are.

In this chapter, I cover topics related to opening accounts. First, I help you understand the information required on a new account form. Then I go over investment objectives, I cover margin accounts, and finally, I discuss when you can call potential customers. I also include a

couple of questions to give you an idea of potential questions you may see on the exam.

Following Protocol When Opening Accounts

The SIE examiners seem to be focusing more and more on the handling of customer accounts. You need to know what to do to open accounts, how to take customer orders, the rules for sending out confirmations, and so on.

Filing the facts on the new account form

When you're opening any new account for a customer, the new account form needs some basic information. Broker-dealers may, in accordance with the Patriot Act (covered later in this chapter), require a customer to provide proof of identification. Getting this information is your responsibility (or the responsibility of the broker-dealer). Here's a list of the items that need to be on the new account form:

- The name(s) and address(es) of the individual(s) who'll have access to the account
- The customer's date of birth (the customer must be of legal age to open an account)
- Contact number(s)
- Marital status and number of dependents (if any)
- Whether the person opening the account or any immediate family member is employed or associated with the securities industry, and if so, how
- The type of account the customer is opening (cash, margin, retirement, day trading, prime brokerage, DVP/RVP, advisory or fee-based, discretionary, options, and so on)
- The customer's Social Security number (if the customer is an individual) or tax ID number (if the customer is a business)
- The customer's occupation, employer, address of employer, and type of business (certain limitations are placed on customers who

work for banks, broker-dealers, insurance companies, SROs, and so on)

- Domestic or foreign residency and/or citizenship (including ID info per the customer's driver's license, passport, state ID, government ID, and so on)
- Bank references and the customer's net worth, liquid net worth, tax rate, and annual income
- Whether the customer is an insider of a company
- Investment objectives and risk tolerance
- Financial investment experience
- The signatures of the registered representative and a principal



REMEMBER You need this information to open an account. If anything changes (for example, a customer's address), the account records need to be updated. Additionally, only individuals who are legally competent may open accounts. You also have to pay close attention to the investor's age and/or mental or physical ability. FINRA has additional rules specifically put in place for older people and/or those with some sort of disability; these rules, regarding "financial exploitation of specified adults" are covered in [Chapter 16](#).



TIP When you're filling out a new account form, you can determine whether your client is accredited (see [Chapter 14](#) for more on the topic of accredited investors).

The following question tests your ability to answer a question about opening a new account.



EXAMPLE Which of the following people must sign a new account form?

1. The customer
2. The customer's spouse
3. The registered representative
4. A principal

(A) I and II only

(B) III and IV only

(C) I and IV only

(D) I, III, and IV only

The correct answer is Choice (B). When you're opening a new account for a customer, the new account form requires only your signature and a principal's (manager's) signature. Make sure you don't assume extenuating circumstances. You need the customer's signature on a new account form only if the customer is opening a margin account. Additionally, you need the spouse's signature only if you're opening a joint account. Because the question doesn't say that the account is a margin or joint account, you can't assume that it is.



REMEMBER You should be able to gather the information you need for making recommendations based on the customer's account form and your conversations with the person. It is your duty to know your customer (also conveniently called the "Know Your Customer Rule") in order to make recommendations that are suitable and effectively handle the account. Your recommendations should be fair and reasonable based on the customer's profile and within the customer's financial ability. Basically, don't recommend buying \$100,000 of a penny stock to a customer who's risk averse and has limited funds. Some of the things you should know to accurately make recommendations are

- The customer's age
- Other investments he has
- His financial situation and needs (for example, is he buying a house soon or sending a kid to college?)
- His tax rate (investors with a high tax rate are more suitable for municipal bonds)
- His investment objectives, such as retirement funding, generating current income, preservation of capital, capital growth, total return (growth and income), tax-advantaged investments, liquidity, speculation, trading profits, long-term versus short-term risk, and so on
- His investment experience (how much do you need to explain to him?)
- His time horizon (expected time to reach a financial goal, if any)
- His risk tolerance (should you recommend speculative securities or only safer ones?)
- His liquidity needs (should you only recommend securities that he can get in and out of easily?)

Word on the street: Numbered accounts

A *street name* or *numbered account* is an account registered in the name of the broker-dealer with an ID number. Street name accounts give the investor a certain degree of privacy and help facilitate the trading of securities (because the brokerage firm, not the customer, signs the certificates). You need to know a few rules about street name accounts for the SIE:

- You need a written statement from the customer attesting to the ownership of the account.
- With the exception of margin accounts, a street name account may be changed by the customer into a regular account at any time.
- All margin accounts must be in street name.

The Patriot Act

The Patriot Act was enacted in 2001 to help identify and catch terrorists. As part of the Patriot Act, broker-dealers are required to

- Keep records of the information used to identify the customer (via customer identification programs, or CIPs). The CIP is a program used by financial institutions to verify the identity of customers who want to conduct financial transactions.
- Verify that a customer doesn't appear on any list of known terrorists or terrorist organizations. (The U.S. Treasury keeps this list.)

Selecting the appropriate type of account

Investors can open many different types of accounts through a broker-dealer. Besides knowing a customer's investment profile, you need a basic understanding of the types of accounts for the SIE exam.

Fortunately, most of them are pretty straightforward.

Single and joint accounts

Some investors prefer to share; others like to go it alone. Whatever their preference, adults can open up accounts that fit their needs:

- **Single (individual) accounts:** Naturally, this account is in the name of one person. The key thing for you to remember is that individuals may not open accounts in other people's names without written permission (power of attorney).
- **Joint accounts:** This account is in the name of more than one person. All individuals named on the account have equal trading authority for the account. For SIE exam purposes, you need to be familiar with two types of joint accounts:
 - **Joint tenants with rights of survivorship (JTWROS):** With this type of joint account, when a joint tenant named on the account dies, his portion of the account passes on to the surviving joint tenant. These accounts are usually set up almost exclusively for husbands and wives. In states where *community property laws*

exist (currently Arizona, California, Idaho, Louisiana, Nevada, New Mexico, Texas, Washington, and Wisconsin), investments acquired during the marriage are automatically presumed to be jointly owned by the husband and wife.

- **Joint with tenants in common (JTIC):** With this type of account, when one tenant of the account dies, his portion of the account becomes part of his estate. JTICs are usually set up for individuals who aren't related.

The following question tests your knowledge of account types.



EXAMPLE All the following people may open a joint account EXCEPT

- (A) Two friends
- (B) A husband and wife
- (C) A parent and minor son
- (D) Three strangers

The right choice here is (C). A joint account is an account in the name of more than one adult. Choices (A), (B), and (D) are all possible for joint accounts; however, an account opened for a minor must be a custodial account, which I discuss in the next section.

Trust accounts

Trust accounts are managed by one party for the benefit of another party. A specific type of trust account that you're most likely to see on the SIE exam is a custodial account. A *custodial account* is set up for a child who's too young to have his own account. A custodian (adult) makes the investment decisions for the account. Any adult can open a

custodial account for a minor, so the people named on the account don't have to be related.



REMEMBER Custodial accounts are trust accounts and may be referred to on the SIE exam as UGMA or UTMA accounts because they fall under the Uniform Gifts to Minors Act or Uniform Transfer to Minors Act. A *UTMA account* is an extension of the UGMA account that allows gifts in addition to cash and securities to be transferred to the minor. The additional gifts allowed are art, real estate, patents, and royalties.

Additionally, because the minor is too young to make investment decisions for himself, some rules are specific to custodian accounts:

- There can only be one custodian and one minor per account.
- The minor is responsible for the taxes (the minor's Social Security number is registered for the account).
- The account is registered in the name of the custodian for the benefit of the minor (the custodian is responsible for endorsing all certificates).
- The account can't be held in street name (in the name of the broker-dealer with an ID number — see the earlier section “[Word on the street: Numbered accounts](#)”).
- Securities can't be traded on margin or sold short.
- Anyone may give a gift of cash or securities to the minor. The gift is irrevocable (can't be refused by the custodian).
- If an account receives rights, the custodian can't let the rights expire. (See [Chapter 6](#) for info on rights.) Because rights have value, a custodian can exercise or sell the rights.



REMEMBER Custodial accounts are for minors, so as soon as a minor reaches the age of majority, which is determined by the minor's state

of residence, the custodial account is terminated and the account is transferred to a single account in the name of the (former) minor.

Discretionary accounts

Decision making can be stressful, and some investors don't want to deal with it. With a *discretionary account*, an investor can give you (the registered rep) the right to make trading decisions for the account. All discretionary accounts need a *written power of attorney* signed by the investor, which gives trading authorization to the registered rep.



REMEMBER If a customer places an order but doesn't specify the security, the number of shares or units, and/or whether the customer wants to buy or sell, you need a written power of attorney. If you don't have a written power of attorney, you can't do anything but decide when to place the order (timing). For example, suppose one of your customers calls you and says that he wants to sell 100 shares of ABC common stock and you believe you can get a better price later in the day. The customer can give you verbal permission to place the order at your discretion. This type of order is called a *market not held order* and is usually good only for the rest of the day.

Here are some specific rules for discretionary orders that you're likely to see on the SIE exam:

- Each discretionary order must be marked as *discretionary* on the order ticket.
- As with other orders, principals must sign each order ticket.
- A principal needs to review discretionary accounts regularly to make sure reps don't trade excessively to generate commissions, which is called *churning*.



REMEMBER A *fiduciary* is anyone who can legally make decisions for another investor. Examples of fiduciaries are custodians (UGMA accounts), a registered rep having power of attorney, an executor of an estate, a trustee, and so on. Fiduciaries are subject to the *Prudent Man* or *Prudent Investor Rule*, which means that they must invest the fund's money in securities designated by their state's *legal list*. If their state does not have a legal list, fiduciaries should invest in securities that only a prudent person who's seeking reasonable income and preservation of capital would invest in.

Corporate accounts

Only incorporated businesses can open corporate accounts. If you're opening a corporate account, you need to obtain the tax ID number of the corporation, which is similar to an individual's Social Security number. Additionally, you need to obtain a copy of the *corporate resolution*, which lets you know whom you should be taking trading instructions from (so you don't get a call like, "Hi, I'm Joe Blow, the janitor for XYZ Corporation, and I'd like to purchase 1,000 shares of ABC for our company").

If a corporation wants to open a margin account (accounts where it's borrowing some money from the broker-dealer to purchase securities — see "[Cash or margin?](#)" later in the chapter), you also need a copy of the corporate charter (bylaws). The corporate charter has to allow the corporation to purchase securities on margin.

Unincorporated associations

An unincorporated association is sometimes called a voluntary organization. An unincorporated association is a group of two or more individuals who form an organization for a specific purpose (in this case, investing). If an unincorporated association has too many characteris-

tics of a corporation, such as having a board of directors, limited liability, and so on, it may be treated and taxed at a higher rate, as if it were a corporation.

Institutional accounts

Accounts set by institutions such as banks, mutual funds, insurance companies, pension funds, hedge funds, and investment advisors are considered institutional accounts. Their role is to act as specialized investors on behalf of others.

Partnership accounts

Two or more individual owners of a business that's not set up as a corporation may set up a partnership account. All partnerships must complete a partnership agreement, which the broker-dealer has to keep on file. The *partnership agreement*, like a corporate resolution, states who has trading authorization for the account so you know whom you're supposed to be taking orders from.



REMEMBER Accounts can be opened for many reasons other than to just buy and sell stocks. They may be opened to trade options, which is covered in [Chapter 11](#). They may be opened to provide a family member with a means to pay for his or her education, which is covered in [Chapter 8](#). Or, maybe they're set up to provide income for retirement, which is covered in [Chapter 15](#). In addition, if you're registered as an investment adviser, you may be setting up a fee-based account rather than one in which you make a commission on trades (see the following section). No matter which type of account you open, portfolio diversification is key.

Investment advisers

If you're working for a broker-dealer as an agent, you'll receive commission when one of your clients makes a trade using your expert services. However, there is a different way to make money other than commission (or markups or markdowns, if your employer trades securities from inventory). More and more broker-dealers are requiring their agents to get a Series 66 (for those with a Series 7 license) or 65 license, which allows them to receive a fee for giving investment advice. To do so, you have to pass an exam and be registered as an investment adviser under the Investment Advisers Act of 1940. Advisers must have a written contract that explains to clients how and when fees will be charged. Fees may be charged as a percentage of managed assets for every time the adviser offers services or as wrap fees, whereby a client is charged fees for unlimited trading, advice, and/or custody of funds and securities. People who provide investment advice that is incidental to their business (teachers, accountants, lawyers, and so on) do not have to register as investment advisers.

Cash or margin?

When one of your clients is opening a *cash account*, it means that she must pay for each trade in full. It doesn't mean that she has to drop off a suitcase full of cash; the trades are typically paid for via check or wire transfer. When a customer opens a cash account, she cannot purchase securities on margin.

You don't necessarily need cold cash to buy securities. Thanks to the wonder of *margin accounts*, you can borrow money from a broker-dealer to purchase securities or borrow the securities themselves. Margin accounts allow customers to buy more securities from you (as a registered rep) than they otherwise would, thus leading to more money in your pocket (a greater commission). However, margin accounts are not without an additional degree of risk (which a lot of people found out back in 1929). Margin accounts are great if the securities held in the account are going in the right direction but horrible if they aren't.

Getting Margin Paperwork Out of the Way

Because purchasing or selling short on margin involves extra risk, all customers must receive a risk disclosure document, which outlines those risks and some of the broker-dealer's rules. Besides receiving the margin risk disclosure document, the customer must sign a *margin agreement* before any securities can be purchased or sold short on margin. The margin agreement is broken down into three main sections:

- **The credit agreement:** Because the investors are borrowing money from the broker-dealer to purchase the securities, they're going to be charged interest on that money. The credit agreement discloses the terms for that borrowing, including the interest rate charged, the broker-dealer's method of computation, and situations under which the interest rate may change.
- **The hypothecation agreement:** This agreement states that all the margined securities must be held in street name (in the name of the broker-dealer for the benefit of the customer). In addition, it allows the broker-dealer to use a portion of the customer's margined securities as collateral for a bank loan (*rehypothecation*). The hypothecation agreement also allows the broker-dealer to sell securities from the account in the event that equity falls below a certain level.
- **The loan consent form:** The loan consent form gives permission to the broker-dealer to loan a customer's margined securities to other investors or broker-dealers, typically for the short sale of securities.



REMEMBER Besides receiving the paperwork listed above, investors opening margin accounts also receive a *margin risk disclosure document*. Some of the things included in that document let the client know that she can lose more money than deposited into the margin account, the firm can force the sale of securities or other assets in the account with-

out contacting the client, the client cannot choose which securities in the account are liquidated, the firm can increase the house maintenance requirement in the account at any time, a client is not entitled to additional time to meet a margin call, and so on.

Introducing Long and Short Margin Accounts

In margin accounts, investors either borrow some money to buy securities or borrow the securities themselves. As a result, margin accounts come in two varieties: long and short.

As you may remember, *long* means *to buy*. With a *long margin account*, the customer buys securities by coming up with a certain percentage of the purchase price of the securities and borrowing the balance from the broker-dealer. These optimistic investors are hoping for a bull market, because they want to sell the securities sometime later for a profit.

With a *short margin account*, an investor is borrowing securities to immediately sell in the market. The process sounds a bit backwards, but the investor is selling things he doesn't actually own yet. Hopefully, for this bearish customer, the price of the security will decrease so the investor can purchase the shares in the market at a lower price and then return them to the lender.



REMEMBER When a customer buys securities, he can purchase the securities in a cash or margin account, but when a customer sells short securities, the transaction must be executed in a margin account.

Playing by the Federal Reserve Board's Rules

The Securities Exchange Act of 1934 gives the Federal Reserve Board (FRB) the authority to regulate the extension of credit to customers in

the securities industry. In addition to Regulation T (see the following section), the FRB decides which securities can be purchased on margin. ([Chapter 13](#) can tell you more about the FRB and its role in influencing money supply.)

Regulation T

Regulation T is the Federal Reserve Board rule that covers the credit broker-dealers may extend to customers who are purchasing securities. Currently for margin accounts both long and short, Regulation T (Reg T) requires customers to deposit at least 50 percent of the current market value of the securities purchased on margin, and the balance is borrowed from the broker-dealer.



REMEMBER Regulation T is currently set at 50 percent; however, firms not willing to take as much risk may increase the house margin requirement to 55 percent, 60 percent, 65 percent, and so on. When you're taking the SIE exam, you should assume 50 percent unless the question states a different percentage.

Regulation T applies not only to margin accounts but also to cash accounts (see [Chapter 16](#)). When customers are purchasing securities in cash accounts, they have a certain number of business days to pay for the trade. This delay is an extension of credit; therefore, it falls under Regulation T.

Reg T also identifies which securities can be purchased on margin and which ones can't.

Margin call

A *margin call* (also known as a *Fed call*, *federal call*, or *Reg T call*) is the broker-dealer's demand for a customer to deposit money in a margin

account when purchasing or shorting (selling short) securities. If a customer is buying securities on margin, the customer may deposit fully paid securities in lieu of cash to meet the margin call.

For both long and short margin accounts, the margin call is the dollar amount of securities purchased (or shorted) multiplied by Regulation T (50 percent). So, for example, if an investor purchases \$50,000 worth of securities on margin, the margin call would be \$25,000. Here's how you figure that:

$$\begin{aligned}\text{margin call} &= \text{the current market value of the securities} \times \text{Reg T} \\ \text{margin call} &= \$50,000 \times 50\% = \$25,000\end{aligned}$$

Opening a Margin Account: The Initial Requirements

The initial margin requirements for short and long accounts apply to the *first* transaction in a margin account only. After the account is established, the investor can purchase or short securities just by depositing Regulation T of the current market value of the securities purchased or shorted.

For an initial purchase in a margin account, customers must deposit a minimum of equity in their margin accounts. Currently, Regulation T calls for a minimum deposit of 50 percent of the current market value of the securities purchased or sold short. However, the Financial Industry Regulatory Authority (FINRA) and the New York Stock Exchange (NYSE) call for a minimum deposit of \$2,000 or ask customers to pay for the securities in full (see the section “[Starting long accounts](#)” for more on how this works).



TIP

When you're taking the SIE, pay attention to the wording of the question. Phrases like “opens a margin account,” “in an initial

transaction in a margin account,” and so on indicate that the question is asking for the initial margin requirement rather than a margin call (see the preceding section for info on margin calls).



REMEMBER The following sections are based on the initial margin requirements for regular long and short margin accounts. If an investor wants to open a *day trading account*, the initial margin requirement is \$25,000, and the investor must keep at least \$25,000 in equity to continue trading. A day trading (pattern day trader) account is one in which the investor buys and sells the same security on the same day or sells short and buys the same security on the same day at least four times in five consecutive days.

Starting long accounts

To open a long margin account, the customer is required to deposit Regulation T or \$2,000, whichever is greater. The exception to this rule occurs when a customer is purchasing less than \$2,000 worth of securities on margin. In this case, the customer pays for the transaction in full. It certainly wouldn't make sense for a customer to purchase \$1,000 of securities on margin and pay \$2,000 when he could pay \$1,000 if it were purchased in a cash account. Even if the customer pays in full, the account is still considered a margin account because the customer can make future purchases on margin as soon as he has over \$2,000 in equity.

Table 12-1 shows you how Regulation T and the FINRA/NYSE requirements affect how much customers have to deposit when opening long margin accounts.

TABLE 12-1 Deposit Requirements for Long Margin Accounts

<i>Dollar Amount of Purchase</i>	<i>Regulation T Requirement</i>	<i>FINRA/NYSE Requirement</i>	<i>Amount Customer Must Deposit</i>
\$6,000	\$3,000	\$2,000	\$3,000
\$3,000	\$1,500	\$2,000	\$2,000
\$1,000	\$500	\$1,000	\$1,000



REMEMBER In short, here's how much an investor has to deposit:

<i>Purchase Price</i>	<i>Amount Owed</i>
Initial purchase < \$2,000	Full purchase price
$\$2,000 \leq \text{initial purchase} \leq \$4,000$	\$2,000
Initial purchase > \$4,000	Reg T (50% of market value)

Opening short accounts

The minimum deposit for short accounts is fairly easy to remember. The \$2,000 minimum required by the FINRA and NYSE applies to short margin accounts. Because of the additional risk investors take when selling short securities, the \$2,000 minimum always applies, even if the customer is selling short only \$300 worth of securities. In this case, the customer must deposit 50 percent of the current market value of the securities or \$2,000, whichever is greater. Here's the breakdown:

Purchase Price**Amount Owed**

Initial purchase $\leq$ \$4,000 \$2,000

Initial purchase $>$ \$4,000 Reg T (50% of market value)

Obeying the Telephone Act of 1991

Since this chapter is about opening customer accounts, it makes sense to cover the Telephone Act of 1991. So, if you're opening the account, you likely called them first unless you happen to be one of those blokes or blokettes lucky enough to have a customer call you to open an account. To make sure that certain standards are used when calling potential customers (such as not calling them at midnight), the Telephone Act of 1991 was created. When you're dealing with *potential customers* on the phone, you need to know these rules:

- You can't make calls before 8 a.m. or after 9 p.m. local time of the potential customer.
- You have to give your name, company name, company address, and phone number.
- If you get a potential customer who's tired of being called, you should place that person on a *do not call list*. Each firm must maintain its own do not call list and have the U.S. government's National Do Not Call List available.
- You may not send unsolicited ads by fax machine.



REMEMBER The Telephone Act of 1991 *does not* apply to existing customers (customers who have executed a trade or had a security in the firm's account in the previous 18 months) or calls from nonprofit organizations. Existing customers who want to be placed on the "do not

call” list after opening an account cannot be solicited but can be updated on the status of their account.